7.5.2 Purchase of Plant and Machinery / Furniture And Fixtures

When plant and machinery are purchased, auditor should vouch the invoices and receipts received from the vendors. He should ensure that all incidental charges connected with the asset are capitalized and added with the cost of asset. He should also carefully scrutinize that expenses in connection with repairs and maintenance are not capitalized. When the asset is purchased on Hire purchase, he should verify the Hire purchase agreement and related vouchers. When the asset is purchased on Auction, Auctioneers statement of account should be verified. In case of purchase of imported machinery, import duty and clearing charges should be debited to asset account.

Documents to be Vouched:
(1) Invoice from Vendors (2) Receipts (3) Auctioneers Statement of Account (4) Hire Purchase Agreement.

7.5.3 Purchase of Motor Vehicles

Contract of purchase, invoice, broker's note, payee's acknowledgement, asset receiving report and the registration book showing the ownership in the name of the client should be examined.

Documents to be Vouched:
(1) Invoice (2) Contract of purchase (3) Registration book (4) Brokers note and (5) Payees acknowledgement.

7.5.4 Purchase of Investments

Auditor should vouch payments made for purchase of Investments with the Brokers Bought Note. He should verify that investments purchased are properly authorized and registered in the name of the company. He should physically examine the actual investment held by the company. In case of new issue of securities, auditor should examine letters of allotment, bank receipt for installments paid, share certificates etc. If investments are purchased cum-dividend, auditor should verify that the expenditure has been properly apportioned between capital and revenue. In case of inscribed stock, certificate from the bank in whose books the stock is inscribed should be obtained.

Documents to be Vouched:
(1) Brokers Bought Note (2) Schedule of Investments (3) Share certificate (4) Letters of Allotment and Bank Receipt (5) Bank Certificate for Inscribed Stock.

7.5.5 Purchase of Patents and Copyrights

Patent is an exclusive right or privilege to make or produce something and copyright is a right to produce an item of a particular design. In case of purchase of patents and copyrights, auditor should obtain the patents and copyrights list from the client and examine it with reference to registration number, date, name of the seller, consideration paid etc. He should verify the registration certificates, certificates for grant of patent, documents of assignment, copyright agreements and receipt for renewal fees. When patent is purchased

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